

Before the
FEDERAL MARITIME COMMISSION

Docket No. 26-08

EALYTEX GLOBAL INC.

v.

COSCO SHIPPING LINES CO., LTD.

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S MOTION FOR
PARTIAL SUMMARY JUDGMENT**

Complainant Ealytex Global Inc. (“EGI” or “Complainant”), by its counsel, respectfully submits this Opposition to the Motion for Partial Summary Judgment (“Motion”) filed by Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”) and states as follows:¹

Introduction

This Motion is nothing more than an underhanded attempt by COSCO to escape a payment obligation it expressly assumed in a FMC-supervised settlement agreement and repeatedly confirmed to the FMC and EGI. COSCO’s fraudulent attempt to systematically delay and deny recovery to EGI for refund amounts due and owing under the FMC Agreement is the very definition of bad-faith, and summary judgment is inappropriate because there are genuine triable issues of material fact with respect to EGI’s claims.

First, the “direct purchaser” rule does not preclude EGI’s standing to recover damages in this case. Second, COSCO fundamentally misinterprets EGI’s claims, claims arising from COSCO’s failure and refusal to abide by the terms of the FMC Agreement and COSCO’s subsequent

¹ Terms used but not defined herein shall have the meaning ascribed to them in the Verified Complaint dated May 19, 2026.

fraudulent representations made to the FMC and EGI to shirk responsibility for wrongful detention and demurrage charges totaling \$91,545.00 (the “Charges”). Third, there are a number of genuine issues of material fact establishing that COSCO is not entitled to judgment as a matter of law, including: (1) the agency relationship between EGI and Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc; (2) whether COSCO, by participating in the underlying Charge Complaint and entering into the FMC-supervised settlement, waived any right to invoke the “direct purchaser” defense; (3) whether COSCO breached the FMC-supervised settlement; and (4) whether the Invoices were EGI’s obligation and if EGI suffered a direct injury conferring standing.

Here, Complainant is the party responsible for paying the Charges and should be permitted to pursue claims against COSCO as the party that ultimately calculated and levied them. Alternatively, EGI seeks leave to amend to join Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc. as co-complainants and/or leave to obtain an assignment from any intermediary parties necessary to pursue its claims.

Counter-Statement of Material Facts

The following material facts are drawn from the Declaration of Luna Zhang (“Zhang Decl.”) and the contemporaneous correspondence and records annexed as Exhibits A–J, all of which demonstrate that genuine issues of material fact exist and that COSCO is not entitled to judgment as a matter of law.

1. On or about August 16, 2023, EGI brought a Charge Complaint on behalf of itself and its agents against COSCO seeking, among other things, a refund of \$91,545.00 in wrongful detention and demurrage charges paid to COSCO pursuant to the Invoices. (Zhang Decl. ¶ 4; Compl. ¶ 23.)

2. COSCO agreed to refund EGI and its agents \$91,545.00 and waived the “direct purchaser” defense by failing to invoke such defense in connection with EGI’s Charge Complaint. (Zhang Decl. ¶ 5.)

3. COSCO’s agreement to refund the Charges paid under the Invoices was memorialized in the FMC Agreement. (Zhang Decl. ¶ 7; Ex. B.)

4. Despite having never refunded the amounts due and owing under the FMC Agreement, COSCO engaged in a prolonged course of conduct that led the FMC and EGI to believe the refunds were being diligently processed. (Zhang Decl. ¶ 8; Compl. ¶ 24.)

5. On December 5, 2024, COSCO confirmed to FMC Investigator Clausen that the Invoices were “confirmed as fully waived” as of December 2, 2024 and that the matter was resolved. (Zhang Decl. ¶ 9(vi) and Ex. H.)

6. The invoices issued by Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc. to EGI demonstrate that each acted in the capacity as agents of EGI, the Invoices are the obligation of EGI, and the Charges were paid by EGI. (Zhang Decl. ¶ 12 & Ex. J.)

Argument

I. EGI Has Standing as a Direct Purchaser

The direct purchaser rule provides that parties suing for violations of the Shipping Act on the basis of alleged overcharges may recover reparations if they actually paid the carrier, received an assignment from the direct purchaser, or are an agent of the direct purchaser. *See In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *5 (FMC Oct. 21, 2019). This legal construct limits recovery of reparations to parties who suffer “actual injury.”

The direct purchaser rule, however, is not absolute and does not apply to the facts of this case. Like here, ordinary principles of agency dictate that the \$91,545.00 in payments made by Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc. were made in the capacity as agents of EGI, and all such payments are EGI's express obligation. Even if the Invoices for the containers at issue here were initially issued to EGI's freight forwarders, it is common industry knowledge that fees of this type pass to EGI as the party ultimately responsible. Here, EGI in fact paid the Charges and has suffered an actual injury in connection with the Invoices. The evidence shows that EGI's freight forwarders acted in the capacity of agents of EGI, the Invoices are in fact the obligation of EGI, and that amounts due under the invoices were paid by EGI. (Zhang Decl. ¶ 12 & Ex. J.) Accordingly, genuine issues of material fact exist that cannot be resolved on summary judgment.

Moreover, none of the concerns underlying the direct purchaser rule apply here. In this case, there are only two parties, the freight forwarder who was issued the Invoice and EGI who ultimately is responsible for paying them, there is no risk of duplicative recovery, and no complicated calculation is required, thus rendering Respondent's case law inapposite. EGI's freight forwarders are simply issued the charges and pass them along to EGI as the party ultimately responsible for paying such charges. *See Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, Doc. 21 at p. 3 (FMC Sept. 29, 2023) (finding that the shipper had standing to bring claim when charges were assessed by carrier and rejecting the respondent's direct purchaser rule argument that the NVOCC was the only proper party to bring the claim); *see also A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp.

2d 454, 466 (S.D.N.Y. 2008) (discussing that NVOCC acts as agent for both carrier and cargo owner/shipper).

Again, the underlying purposes of the direct-purchaser rule are not implicated here and COSCO knows this. The amounts were fixed in the FMC Agreement, COSCO itself treated the refunds as due to EGI and its freight forwarders; and there is no pending competing claims by any intermediary seeking the same sums from COSCO. Even under a strict application of the rule, the Motion fails because genuine issues remain as to (1) the nature of the agency relationships, (2) whether EGI's payments to its agents constitute the requisite economic injury, (3) the legal effect of the FMC Agreement and COSCO's subsequent admissions that the invoices were "fully waived," and (4) whether COSCO waived or is estopped from raising the direct purchaser defense.

II. COSCO Should Be Estopped from Invoking the Direct Purchaser Rule

It must be noted that COSCO resolved the Charge Complaint by agreeing, under FMC supervision, to refund the amounts paid under the Invoices (Zhang Decl. ¶¶ 5–7; Ex. A–B.) Following the FMC Agreement, COSCO spent more than a year representing to EGI and the Commission that said refunds were "in process, escalated, nearly complete," and then "confirmed as fully waived." (Zhang Decl. ¶ 9; Ex. C–H.). Now, after exhausting the FMC's resources, COSCO changes its tact and raises a technical defense previously waived. Under these circumstances, COSCO should be equitably estopped from asserting the direct-purchaser rule as a bar to recovery.

Allowing COSCO to escape the obligation it expressly assumed would reward precisely the gamesmanship the Commission tries to discourage. Indeed, the Ocean Shipping Reform Act of 2022 ("OSRA") strengthened the Commission's tools with respect to demurrage and detention practices, expanded the availability of refunds, and underscored the importance of just and

reasonable practices by ocean common carriers. OSRA’s remedial approach cuts against allowing COSCO to use a technical standing defense to avoid an obligation it has already acknowledged in a Commission-supervised settlement and repeatedly confirmed to Commission investigators. The Commission should interpret standing via the “direct purchaser” rule and “actual injury” in a manner consistent with the remedial purposes of OSRA, particularly where, like here, COSCO’s own unjust and unreasonable practices has created the present dispute and consumed substantial Commission resources. (Zhang Decl. ¶ 9.) The Commission should not reward a strategy of delay and avoidance which wasted scarce enforcement resources on an obligation COSCO has already conceded. In these circumstances, an award of attorneys’ fees to EGI is warranted. *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Dkt. No. 14-04, 2016 WL 511081 (FMC, Sept. 14, 2016) (litigation misconduct and unnecessary multiplication of proceedings can justify fee awards, particularly where, like here, a party disregards Commission orders).

For the foregoing reasons, the Commission should deny the Motion and find that Complainant sufficiently alleges that it is the direct purchaser at this stage of the proceedings.

III. Alternatively, EGI Should Be Granted Leave to Amend

As set forth above, EGI is the proper party to seek reparations. However, to the extent deemed necessary, EGI can also obtain an assignment of its reparations claim from Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc., the parties who invoiced EGI for the Charges as a pass-through. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6. Alternatively, EGI seeks leave to amend the Verified Complaint to (1) join EGI’s freight forwarders as co-complainants (or to reflect assignments from them), and/or (2) add claims arising from COSCO’s bad-faith and potentially fraudulent post-settlement course of conduct.

Conclusion

For the foregoing reasons, Complainant Ealytex Global Inc. respectfully requests that Respondent's Motion for Partial Summary Judgment be denied in its entirety. In the alternative, should the Presiding Officer conclude that EGI's standing requires further clarification, EGI requests that the Motion be denied without prejudice and that EGI be granted leave to amend the Verified Complaint to obtain an assignment of its reparations claims and/or join its freight forwarders as co-complainants, and to assert claims arising from COSCO's bad-faith post-settlement conduct to the extent applicable, together with attorneys' fees and costs and such other and further relief as is just and proper.

Dated: New York, New York
July 27, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on July 27, 2026, a true and correct copy of the foregoing **Complainant's Response in Opposition to Respondent's Motion for Partial Summary Judgment** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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